

Local Moves vs. Long-Distance: Which Is More Profitable?

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Local Moves vs. Long-Distance: Which Is More Profitable?

Every moving company owner eventually faces this question. Local moves are the bread and butter — easy to schedule, quick to complete, low regulatory burden. Long-distance moves are bigger tickets but require more planning, different licensing, and longer cash flow cycles.

Here's the real comparison.

How the Business Models Differ

Local moves are typically:

- Hourly pricing (\$85 to \$200/hour depending on crew size and market)
- Same-day or next-day scheduling
- 2 to 8 hours per job
- No special licensing beyond standard intrastate authority

- Payment collected same day

Long-distance moves are typically:

- Weight-based or flat-rate pricing (\$2,000 to \$15,000+ per job)
- 1 to 4 weeks advance booking
- 1 to 5+ days to complete (load, drive, unload)
- Require FMCSA Operating Authority (MC number) for interstate
- Payment can be split across booking, pickup, and delivery

The Revenue Per Day Comparison

Move Type	Typical Revenue	Crew Hours	Revenue Per Crew-Hour
Local 3-hour apartment	\$350 – \$500	6 crew-hours	\$58 – \$83
Local 6-hour 3BR house	\$700 – \$1,100	12 crew-hours	\$58 – \$92
Long-distance 3BR (500 miles)	\$3,500 – \$5,000	20 – 30 crew-hours	\$117 – \$250
Long-distance 3BR (1,500 miles)	\$5,000 – \$8,000	24 – 36 crew-hours	\$139 – \$333

Long-distance appears to win decisively on revenue per crew-hour. But the real picture is more nuanced.

The True Margin Comparison

Local moves:

- Predictable costs (you know your local landfill rates, your local fuel costs)
- Same-day payment — no cash flow gap
- Higher volume potential (2 local moves per day vs. 1 long-distance per week)
- More review generation (satisfied local customers write reviews; most long-distance customers don't)
- Lower risk (smaller scope, less can go wrong)

Long-distance moves:

- Higher revenue per job, but higher costs: fuel for 500 to 2,000 miles, hotel for crew, interstate tolls, longer labor hours including drive time
- Payment structure creates cash flow gaps (often 30 to 40% deposit, balance on delivery)
- Claims exposure is higher (more handling time, more distance)
- Requires FMCSA authority and compliance — ongoing regulatory overhead
- One bad long-distance job (damage, delay, difficult customer) can consume weeks of profit

Typical net margins:

- Local moves: 25 to 45% net margin on well-run jobs
- Long-distance: 20 to 35% net margin — often lower than expected because of fuel, driver costs, and compliance overhead

What the Best Operators Do

The most profitable moving companies in most markets run a **local-first model with selective long-distance**.

Local is the foundation:

- Predictable, repeatable, review-generating
- High job frequency means high utilization
- Crews develop efficiency and expertise quickly
- Marketing is simpler (local SEO, Google Maps)

Long-distance as the premium add-on:

- Take jobs when they come organically (existing customers moving out of state)
- Don't build your primary marketing around long-distance unless you're in a major relocation market
- Price long-distance with significant margins to compensate for complexity

- Build the FMCSA authority early — it's an asset that takes time to establish

When to Add Long-Distance

Good time to add long-distance:

- You have your FMCSA MC number (takes 4 to 6 weeks — apply early)
- You have a reliable crew leader who can manage multi-day jobs independently
- Your local volume is healthy enough that you're not counting on long-distance to make payroll

Bad time to add long-distance:

- You're still struggling to fill your truck with local jobs
- You don't have FMCSA authority
- Your crew is still learning the basics of local moves

The operators who get into long-distance too early often find themselves stretched thin — managing a 3-day, 1,200-mile move while trying to keep local operations running. Get local right first.

The Niche That Changes the Math: Corporate Relocation

Corporate relocation moves — employees moving to a new city for work — are long-distance by nature but behave more like local moves in one critical way: they're recurring.

A company that moves 20 employees per year can generate \$60,000 to \$200,000 annually from a single corporate account. The customer is a professional HR department, not an individual under stress. Claims are handled professionally. Payment is reliable.

If long-distance appeals to you, corporate relocation is the most attractive segment of it. Building relationships with corporate HR departments and relocation management companies is the most direct path to high-value recurring long-distance volume.

Want help figuring out the right move mix for your market? Book a free strategy call.